

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and
Consumer Act 2010* (Cth) by Coles Group Property
Developments Ltd (ACN 004 428 326) and Coles
Supermarkets Australia Pty Ltd (ACN 004 189 708)

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1 Person giving the Undertaking

- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Coles Group Property Developments Ltd (ACN 004 428 326) (**CGPD**) and Coles Supermarkets Australia Pty Ltd (ACN 004 189 708) (**CSA**).

2 Background

The parties to the proposed acquisitions

Coles

- 2.1 Coles Supermarkets Australia Pty Ltd (**CSA**) is a wholly owned subsidiary of Coles Group Limited (**Coles**). Coles is an Australian ASX-listed company that operates more than 800 supermarkets nationwide. Coles' large-format stores typically offer standard grocery items, as well as a full-service bakery and deli service. Coles also operates smaller format 'Coles Local' supermarkets with a smaller range of grocery items.
- 2.2 Coles operates an online grocery shopping and delivery platform named 'Coles Online', which allows customers to shop for groceries with either home delivery options or pick up from 'Click&Collect' locations at existing Coles stores.
- 2.3 Coles Group Property Developments Limited (**CGPD**) is a wholly owned subsidiary of Coles and was established to support Coles' development operations.

Oreana Property Group

- 2.4 Neale Deanside Developments Pty Ltd, trading as Oreana, is the lessor for the Deanside Central Town Centre (**Deanside Central**) located in Deanside, Victoria. Oreana is also a privately-owned Australian property development, construction and investment group.

Mensch Investments No. 3 Partnership

- 2.5 Mensch Investments No. 3 Partnership is the landholder and developer for the Mount Atkinson Major Town Centre (**Mt Atkinson**) located in Mt Atkinson, Victoria.

The Proposed Acquisitions

- 2.6 CSA proposes to acquire two leasehold interests for greenfield supermarket developments in the Melton region in Victoria, at Deanside Central and Mt Atkinson, as discussed further in paragraphs 2.7 and 2.8 below (the **Proposed Acquisitions**). This geographic area, which is undergoing significant development, is known as the 'Melton Growth Corridor'.

Deanside Central Town Centre

- 2.7 On 17 April 2025, CSA entered into an agreement for lease in relation to a proposed shopping centre at Deanside Central Town Centre. The centre is located at the corner of Hopkins Rd and Normanby Bvd, Deanside, VIC, 3335. Coles expects its new store at Deanside Central to commence trading in the centre in 2027 with a 2,800sqm saleable floor area.

Mt Atkinson Major Town Centre

- 2.8 CSA is currently in final negotiations with Mensch Investments No. 3 Partnership regarding an agreement for lease in relation to a proposed shopping centre at Mt Atkinson Major Town Centre. The centre is located at 119 Greigs Road, Truganina, VIC, 3029. Coles expects its new store to launch in mid-2028 with a 2,800sqm saleable floor area.

The ACCC's review

- 2.9 On 25 September 2025, the ACCC commenced its public review of the Proposed Acquisitions.

- 2.10 The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Acquisitions, industry participants and others. The purpose of the ACCC's inquiries was to assess whether the Proposed Acquisitions would have the effect, or be likely to have the effect, of substantially lessening competition in any market in Australia in contravention of section 50 of the Act.

The Proposed Divestiture Site

- 2.11 There are no existing Coles stores (or other supermarkets) in Deanside or Mt Atkinson. However, CGPD currently owns the Divestiture Site, an undeveloped site at Kororoit which is located approximately half way between the proposed Deanside and Mt Atkinson stores.
- 2.12 On 17 April 2025, CGPD and CSA entered into a sale agreement and an agreement for lease with Oreana, pursuant to which CGPD would transfer its freehold interest in the Divestiture Site to Oreana, and CSA would take a leaseback for a developed supermarket at the site. The settlement of the original sale agreement is subject to certain conditions. Coles submitted to the ACCC that, should the ACCC grant clearance for the Deanside Central and Mount Atkinson sites, CGPD and CSA propose to accelerate settlement, and terminate the lease for the Divestiture Site.
- 2.13 To enable the ACCC to factor in CGPD's divestiture of Kororoit into its public review of the Proposed Acquisitions, CGPD provides this Undertaking to the ACCC to divest the Kororoit site.

The ACCC's competition concerns

- 2.14 The ACCC was concerned that, in the absence of the Undertaking, each of the Proposed Acquisitions may have the effect, or be likely to have the effect, of substantially lessening competition in the retail supply of groceries and household products within a 3km to 5km radii of each of Deanside Central and Mt Atkinson.
- 2.15 Coles already has a significant presence in each of the relevant local areas around each of the target sites. This includes that in 2018 Coles purchased and continues to own a site suitable for supermarket development in the Kororoit Town Centre. The Kororoit Town Centre is located in between the Deanside Central Town Centre and the Mt Atkinson Major Town Centre sites and is the closest town centre to each of the target sites.
- 2.16 Absent the Undertaking, Coles would likely control a significant proportion of sites suitable for large format supermarkets within 3km to 5km radii of each site. In addition, there is a limited presence of rivals in the local area, including little independent supermarket competition. This would limit consumers' options to choose other supermarkets if they are or become dissatisfied with the way Coles sets prices, quality or its range of products.
- 2.17 The ACCC was concerned that absent the Undertaking, the Proposed Acquisitions may substantially lessen competition, including by significantly increasing barriers to entry and expansion for supermarkets to enter the relevant local markets due to predominance of Coles stores in the relevant local areas and the broader growth corridor, and scarcity of suitable sites for competitors in the local markets, constrained by the relevant local area planning.
- 2.18 Further, this situation may continue for a long period of time, given the long leases for Deanside Central and Mt Atkinson, and potential ownership of Kororoit in perpetuity.
- 2.19 Absent the Undertaking, the ACCC was concerned that Coles' supermarket presence in the local area as a result of the Proposed Acquisitions would substantially lessen competition. Absent the Undertaking, the ACCC was concerned this may have led to higher prices and/or reduced quality in the retail supply of groceries and household products. The ACCC considered the Undertaking would prevent a substantial lessening of competition from resulting from the Proposed Acquisitions by ensuring the Kororoit site is available to a rival supermarket operator.

The Undertaking remedy

2.20 The objective of this Undertaking is to address the ACCC's competition concerns as set out above that could otherwise arise as a consequence of the Proposed Acquisitions. The Undertaking aims to achieve this objective by placing obligations on CSA and CGPD:

- (a) to ensure CGPD divests the Divestiture Site to Oreana by no later than 31 July 2026, to a purchaser the ACCC considers suitable to ensure a credible threat of competitive supermarket entry at the site;
- (b) to ensure CSA terminates the Agreement for Lease between Oreana and CSA;
- (c) in circumstances where CGPD does not divest the Divestiture Site to Oreana by 31 July 2026, that CGPD sells the Divestiture Site (including all necessary associated assets and rights to facilitate supermarket entry) to a purchaser the ACCC considers suitable to ensure a credible threat of competitive supermarket entry at the Divestiture Site;
- (d) to maintain the value and/or marketability of the Divestiture Site prior to divestiture; and
- (e) to provide for the effective oversight of CSA and CGPD's compliance with this Undertaking.

3 Commencement of this Undertaking

3.1 This Undertaking comes into effect when:

- (a) this Undertaking is executed by CGPD and CSA; and
- (b) this Undertaking so executed is accepted by the ACCC,
(the **Commencement Date**).

4 Cessation of Ongoing Obligations

Withdrawal

4.1 CGPD and CSA may request withdrawal of this Undertaking pursuant to section 87B of the Act at any time. The Undertaking is taken to be withdrawn on the date the ACCC consents in writing to that withdrawal.

Revocation

4.2 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading. Such a revocation must be express and in writing.

Waiver

4.3 The ACCC may, at any time, waive any of the obligations contained in this Undertaking. Such a waiver must be express and in writing.

Extension

4.4 The ACCC may, at any time, extend the date by which any of the obligations in this Undertaking is to be satisfied. Such an extension must be express and in writing.

Survival

4.5 Unless and until this Undertaking is withdrawn in accordance with section 87B(2) of the Act, clauses 1, 2, 3, 4, 8, 9, 10, 11, 12, 13, 14 and 15 survive completion of the obligations in clauses 5, 6 and 7 (inclusive).

5 Divestiture of the Divestiture Site

Divestiture

- 5.1 CGPD must, in accordance with this Undertaking:
- (a) not sell or transfer its interest in the Divestiture Site, except in accordance with this Undertaking;
 - (b) divest, or cause the divestiture of, the Divestiture Site to Oreana (and only to Oreana) by:
 - (i) varying the Contract of Sale for the Divestiture Site by entering into the amending deed annexed at Confidential Schedule 3;
 - (ii) settling the sale of CGPD's freehold interest in the Divestiture Site to Oreana by no later than 31 July 2026; and
 - (iii) taking all steps reasonably necessary to effect and achieve the divestiture of the Divestiture Site to Oreana.
- 5.2 CSA must terminate the Agreement for Lease with respect to the Divestiture Site on the date that the ACCC advises CSA in writing that it does not propose to oppose the Proposed Acquisitions.
- 5.3 As soon as practicable after the Commencement Date, CSA and CGPD must direct their personnel, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with CSA's and CGPD's obligations under this Undertaking.
- 5.4 CSA and CGPD must, from the Commencement Date until completion of the divestiture of the Divestiture Site:
- (a) take all steps available to it to ensure that the Divestiture Site is managed and maintained in such a way that preserves the value and/or the marketability of the Divestiture Site; and
 - (b) not do anything that may affect the validity of any existing planning approvals in relation to the Divestiture Site without the prior written consent of the ACCC.
- 5.5 In the event that clause 6 applies:
- (a) CGPD must not authorise the Approved Divestiture Agent to divest the Unsold Divestiture Site to a purchaser other than an Approved Purchaser.
 - (b) CGPD must:
 - (i) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before completion of the divestiture of the Unsold Divestiture Site;
 - (ii) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;
 - (iii) act in good faith in its negotiations with the Approved Purchaser in relation to obtaining any Consents; and
 - (iv) promptly pay the costs and expenses of any third party reasonably incurred in providing the Consents.
 - (c) If, seven Business Days before completion of the divestiture of the Unsold Divestiture Site, the Approved Purchaser does not or is otherwise unable to obtain one or more Consents, then CGPD must:
 - (i) immediately provide to the ACCC in writing details of the:
 - (A) Consents that have not been obtained;

- (B) reasons why the Consents have not been obtained; and
- (C) information or material required to obtain the Consents.
- (ii) continue to do everything in its power to satisfy clause 5.5(b) as soon as possible after the completion of the divestiture of the Unsold Divestiture Site (and until such time as clause 5.5(b) is satisfied).
- (d) Even if CGPD has complied with clause 5.5(b) to 5.5(c), CGPD will be in breach of this Undertaking if CGPD is unable to effect the divestiture of the Unsold Divestiture Site by reason that one or more Consents are not obtained.
- (e) CGPD must not sell or transfer its interest in the Unsold Divestiture Site or make any Material Change, except in accordance with this Undertaking or (subject to the other terms of this Undertaking) as necessary to allow the Approved Divestiture Agent to divest the Unsold Divestiture Site to an Approved Purchaser.

6 Failure to divest the Divestiture Site

Divestiture of the Unsold Divestiture Site

- 6.1 In the event that CGPD does not divest the Divestiture Site to Oreana by 31 July 2026, the Divestiture Site becomes an unsold site (**Unsold Divestiture Site**) and the provisions of this clause 6 apply.

Obligation to appoint an Approved Divestiture Agent

- 6.2 From 1 August 2026, CGPD must appoint and maintain an Approved Divestiture Agent to effect the divestiture of the Unsold Divestiture Site.

Process for approving a Proposed Divestiture Agent

- 6.3 If divestiture of the Divestiture Site has not been completed by 31 July 2026, then on or before 22 July 2026, CGPD must provide the ACCC with a notice for a Proposed Divestiture Agent in the form of Schedule 2 to this Undertaking (**Proposed Divestiture Agent Notice**) including draft terms of appointment, draft business sale agreement, draft marketing and sale plan for the Unsold Divestiture Site and Notice of Breach and Notice of Termination.
- 6.4 If clauses 6.14, 6.15 or 6.16 apply, CGPD must provide the ACCC with a Proposed Divestiture Agent Notice within five Business Days after the relevant event occurs.
- 6.5 The ACCC shall have the discretion to approve or reject in writing the Proposed Divestiture Agent.
- 6.6 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Divestiture Agent, the factors to which the ACCC may have regard include whether the:
- (a) person named in Proposed Divestiture Agent Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Divestiture Agent;
 - (b) person named in the Proposed Divestiture Agent Notice or identified by the ACCC is sufficiently independent of CGPD and CSA;
 - (c) draft terms of appointment, draft business sale agreement and draft marketing and sale plan are consistent with this Undertaking; and
 - (d) draft terms of appointment, draft business sale agreement, and draft marketing and sale plan for the Unsold Divestiture Site are otherwise acceptable to the ACCC.

Appointment of Approved Divestiture Agent

- 6.7 After receiving written notice from the ACCC of its approval of the Proposed Divestiture Agent, the draft terms of appointment, draft business sale agreement, and draft marketing and sale plan for the Unsold Divestiture Site, CGPD must within two Business Days:
- (a) appoint the person approved by the ACCC as the Approved Divestiture Agent on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

Failure to appoint

- 6.8 If:
- (a) the Approved Divestiture Agent has not been appointed within 10 Business Days after the Divestiture Site becomes an Unsold Divestiture Site;
 - (b) the Approved Divestiture Agent has not been appointed within 15 Business Days after the Approved Divestiture Agent resigns or otherwise ceases to act pursuant to clauses 6.14, 6.15 or 6.16; or
 - (c) the ACCC has not received a Proposed Divestiture Agent Notice pursuant to clause 6.3 and 6.4;
- then clause 6.9 applies.
- 6.9 If clause 6.8 applies, the ACCC may, at its absolute discretion:
- (a) identify and approve a person as the Approved Divestiture Agent, including approving the draft terms of appointment of the Approved Divestiture Agent, draft business sale agreement and draft marketing and sale plan for the Unsold Divestiture Site; and/or
 - (b) direct CGPD to appoint a person who the ACCC has deemed is an Approved Divestiture Agent.

Obligations and powers of the Approved Divestiture Agent

- 6.10 CGPD must procure that any proposed terms of appointment for the Approved Divestiture Agent include obligations on the Approved Divestiture Agent to:
- (a) divest the Unsold Divestiture Site only to an Approved Purchaser, at no minimum price;
 - (b) maintain his or her independence from CGPD and CSA, apart from appointment to the role of Approved Divestiture Agent, including not forming any relationship of the types described in clause 2.2(c) of Schedule 2 to this Undertaking with CGPD or CSA for the period of his or her appointment;
 - (c) not use any confidential information gained through the divestiture of the Unsold Divestiture Site other than for performing his or her functions as Approved Divestiture Agent;
 - (d) follow the Approved Marketing and Sale Plan;
 - (e) use his or her best endeavours to enter into a binding agreement for the divestiture of the Unsold Divestiture Site as quickly as possible using the Approved Business Sale Agreement;
 - (f) every 30 Business Days following appointment of the Approved Divestiture Agent, provide written reports directly to the ACCC which include:
 - (i) information regarding the implementation of the Approved Business Sale Agreement and the Approved Marketing and Sale Plan including any previous changes approved by the ACCC;

- (ii) information regarding any suggested changes to any Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (iii) an account and explanation of all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties by month and to the date of the report;
 - (iv) a schedule of agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 6.11(d));
 - (v) the efforts made to sell the Unsold Divestiture Site;
 - (vi) the identity of any advisers engaged;
 - (vii) the identity of any persons expressing interest in the Unsold Divestiture Site; and
 - (viii) any other information required by the ACCC.
- (g) within 30 Business Days after the completion of the divestiture of the Unsold Divestiture Site, provide a written report directly to the ACCC which includes a final accounting of:
- (i) any moneys derived from the divestiture of the Unsold Divestiture Site;
 - (ii) all disbursements, fees and charges incurred by the Approved Divestiture Agent in fulfilling his or her duties; and
 - (iii) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 6.11(d));
- (h) immediately inform the ACCC of:
- (i) any issues that arise in relation to the implementation of the Approved Business Sale Agreement and the Approved Marketing and Sale Plan;
 - (ii) non-compliance with this Undertaking by any person named in this Undertaking;
 - (iii) any offers for the Unsold Divestiture Site;
- (i) accept any offer for the Unsold Divestiture Site upon instruction from CGPD given in accordance with clause 6.13(d); and
- (j) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent pursuant to this Undertaking.
- 6.11 CGPD must procure that any proposed terms of appointment for the Approved Divestiture Agent contain an irrevocable grant of power of attorney conferring all necessary power and authority on the Approved Divestiture Agent to:
- (a) negotiate with purchasers to divest the Unsold Divestiture Site on terms considered by the Approved Divestiture Agent in his or her sole discretion to be consistent with this Undertaking and the Approved Marketing and Sale Plan;
 - (b) execute any agreements with the Approved Purchaser required pursuant to clause 7.3;
 - (c) upon instruction pursuant to clause 6.13(d), complete the divestiture of the Unsold Divestiture Site to the Approved Purchaser in accordance with the Approved Business Sale Agreement; and
 - (d) engage any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.
- 6.12 Any irrevocable power of attorney granted pursuant to clause 6.11 will end upon resignation or termination of the Approved Divestiture Agent in accordance with clauses 6.14, 6.15 or 6.16, or in the event that the Unsold Divestiture Site is divested in accordance with this Undertaking.

CGPD's obligations in relation to the Approved Divestiture Agent

- 6.13 Without limiting its obligations in this Undertaking, CGPD must from the date that the Approved Divestiture Agent is appointed:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Divestiture Agent;
 - (b) maintain and fund the Approved Divestiture Agent to carry out his or her functions; including:
 - (i) indemnifying the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent;
 - (iii) paying such fees as are agreed between the Approved Divestiture Agent and CGPD (but not fees contingent on the price to be obtained for the Unsold Divestiture Site); and
 - (iv) if an agreement as to fees cannot be reached between the Approved Divestiture Agent and CGPD within 15 Business Days after 31 July 2026, CGPD agrees to pay such fees as are directed by the ACCC;
 - (c) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as the Approved Divestiture Agent, including:
 - (i) directing its personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 6;
 - (ii) providing access to the Unsold Divestiture Site as required by the Approved Divestiture Agent; and
 - (iii) providing to the Approved Divestiture Agent any information, documents or other assistance that they consider necessary for carrying out his or her functions as the Approved Divestiture Agent or for reporting to or otherwise advising the ACCC;
 - (d) within three Business Days after receiving notice from the ACCC pursuant to clause 7.3, CGPD must instruct the Approved Divestiture Agent to complete the divestiture of the Unsold Divestiture Site to the Approved Purchaser in accordance with the documents approved by the ACCC pursuant to clause 7.3; and
 - (e) other than in accordance with clause 6.13(d) of this Undertaking, not instruct the Approved Divestiture Agent to divest the Unsold Divestiture Site.

Resignation, revocation or termination of the Approved Divestiture Agent

- 6.14 CGPD must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the completion of the divestiture of the Unsold Divestiture Site.
- 6.15 The ACCC may revoke an Approved Divestiture Agent's status as the Approved Divestiture Agent if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

- 6.16 The ACCC may approve any proposal by, or alternatively may direct, CGPD to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

7 Process for approving a proposed purchaser

Potential purchasers

- 7.1 After the Divestiture Site becomes an Unsold Divestiture Site, CGPD must, within 10 Business Days of each person expressing the interest and/or providing an offer (regardless of whether the person subsequently withdraws or is declined) provide the ACCC with:
- (a) the identity of any person who expresses an interest in acquiring the Unsold Divestiture Site;
 - (b) the status of negotiations with each person; and
 - (c) a copy of each person's offer to acquire the Unsold Divestiture Site, where relevant.

Provision of a notice for a Proposed Purchaser

- 7.2 To seek ACCC approval for a Proposed Purchaser, CGPD or the Approved Divestiture Agent must provide the ACCC with a notice in the form prescribed in Schedule 4 to this Undertaking (**Proposed Purchaser Notice**), including a draft sale and purchase agreement.

Approval of a Proposed Purchaser after the Commencement Date

- 7.3 The ACCC may, in its discretion, approve or reject in writing the Proposed Purchaser identified in the Proposed Purchaser Notice. In exercising this discretion, the ACCC will consider, without limitation the draft sale and purchase agreement attached to the Proposed Purchaser Notice.
- 7.4 Without limiting the ACCC's discretion, in making the decision pursuant to clause 7.3, the factors to which the ACCC may have regard include whether the:
- (a) draft sale and purchase agreement is consistent with this Undertaking;
 - (b) Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (c) Proposed Purchaser is independent of CGPD and CSA;
 - (d) Proposed Purchaser is of good financial standing;
 - (e) Proposed Purchaser has a history of competition law compliance; and
 - (f) divestiture of the Unsold Divestiture Site to the Proposed Purchaser will address any competition concerns of the ACCC, including in relation to the likely long-term viability and competitiveness of the Unsold Divestiture Site under the ownership of the Proposed Purchaser.
- 7.5 The ACCC may revoke an Approved Purchaser's status as the Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

8 Notification of key dates and ACCC requests for information

- 8.1 CSA must:
- (a) notify the ACCC in writing of the termination of the Agreement for Lease within one Business Day of that date;
 - (b) from the Commencement Date and until the obligations in this Undertaking are fulfilled:

- (i) notify the ACCC in writing of any circumstances that may impact the performance of its obligations under this Undertaking, within two Business Days of becoming aware of those circumstances; and
- (ii) continue to do everything in its power to perform the obligations under this Undertaking as soon as possible and until such time as the obligations are satisfied.

8.2 CGPD must:

- (a) notify the ACCC in writing of:
 - (i) the anticipated date of the completion of the divestiture of the Divestiture Site or Unsold Divestiture Site (as applicable) at least five Business Days before that date; and
 - (ii) the occurrence of the completion of the divestiture of the Divestiture Site or Unsold Divestiture Site (as applicable), within one Business Day of that date;
- (b) notify the ACCC in writing of any expected or anticipated steps or delays towards CGPD divesting the Divestiture Site by 31 July 2026, as soon as CGPD becomes aware or in any instance within two Business Days of that date;
- (c) from the Commencement Date and until the obligations in this Undertaking are fulfilled:
 - (i) notify the ACCC in writing of any circumstances that may impact the performance of its obligations under this Undertaking, within two Business Days of becoming aware of those circumstances; and
 - (ii) continue to do everything in its power to perform the obligations under this Undertaking as soon as possible and until such time as the obligations are satisfied.

8.3 The ACCC may direct CGPD or CSA in respect of its compliance with this Undertaking or an Approved Divestiture Agent's compliance with its Approved Terms of Appointment. The ACCC may request CGPD, CSA and/or the Approved Divestiture Agent to, and CGPD, CSA and/or the Approved Divestiture Agent must:

- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
- (b) produce documents and materials to the ACCC within CGPD's, CSA's or the Approved Divestiture Agent's custody, power or control in the time and in the form requested by the ACCC; and/or
- (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.

8.4 Any direction made by the ACCC under clause 8.3 will be notified to CGPD or CSA, in accordance with clause 14.2.

8.5 CGPD will use its best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 8.3.

8.6 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 8 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.

8.7 The ACCC may in its discretion:

- (a) advise any Approved Divestiture Agent of any request made by it under this clause 8; and/or
- (b) provide copies to any Approved Divestiture Agent of any information furnished, documents and material produced or information given to it under this clause 8.

- 8.8 Nothing in this clause 8 requires the provision of information or documents in respect of which CGPD or CSA has a claim of legal professional or other privilege.
- 8.9 For the avoidance of doubt, failure to comply with any of the obligations under this clause 8 will constitute a breach of this Undertaking.

9 Disclosure of this Undertaking

- 9.1 CGPD, CSA and the ACCC agree that the documents listed in Confidential Schedule 3 will remain confidential.
- 9.2 CGPD and CSA acknowledge that the ACCC may provide the Approved Divestiture Agent with a copy of the Undertaking which includes unredacted versions of the documents listed in Confidential Schedule 3.
- 9.3 CGPD and CSA acknowledge that, subject to clause 9.1, the ACCC may:
- (a) make this Undertaking publicly available;
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (c) from time to time publicly refer to this Undertaking.
- 9.4 Nothing in clause 9.1. or the confidential parts of this Undertaking referred to in clause 9.1 prevents the ACCC from disclosing such information as is:
- (a) required by law;
 - (b) permitted by section 155AAA of the Act;
 - (c) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 9.5 Nothing in clause 9.1 or the confidential parts of this Undertaking referred to in clause 9.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

10 Obligation to procure

- 10.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of CGPD or CSA to take or refrain from taking some action, CGPD and/or CSA will procure that Related Body Corporate to take or refrain from taking that action.

11 No Derogation

- 11.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by CGPD or CSA of any term of this Undertaking.
- 11.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that CGPD or CSA does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

12 Change of Control

- 12.1 In the event that a Change of Control is reasonably expected to occur, CGPD and CSA must:

- (a) notify the ACCC of this expectation as soon as practicable; and
- (b) only implement a Change of Control to another person or entity if that person or entity has given a section 87B undertaking to the ACCC that requires it to comply with the same obligations as are imposed on CGPD and CSA pursuant to this Undertaking, or on terms that are otherwise acceptable to the ACCC, unless the ACCC has notified CGPD or CSA in writing that a section 87B undertaking under this clause is not required.

13 Costs

- 13.1 CGPD and CSA must pay all of their own costs incurred in relation to this Undertaking.

14 Notices

Giving Notices

- 14.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Merger and Exemptions Assessment Division

With a copy sent to: mergersru@accc.gov.au
Attention: Director, Remedies Unit
Mergers and Exemptions Assessment Division

- 14.2 Any notice or communication to CGPD or CSA pursuant to this Undertaking must be sent to:

Name: Kai Fu, Head of Legal - Regulatory & Disputes

Address: Coles Group Limited, 800 Toorak Road Hawthorn East Victoria 3123 Australia

Email Address: kai.fu@coles.com.au

Attention: Kai Fu

With a copy sent to: N/A

- 14.3 If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).
- 14.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

- 14.5 CGPD and CSA must notify the ACCC of a change to its contact details within three Business Days.
- 14.6 Any notice or communication will be sent to the most recently advised contact details and subject to clauses 14.3 and 14.4, will be taken to be received.

15 Defined terms and interpretation

Definitions in the Dictionary

- 15.1 A term or expression starting with a capital letter:

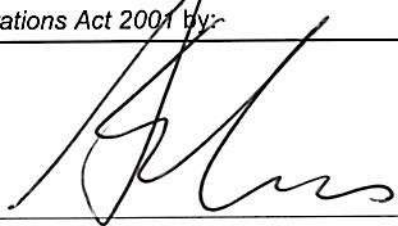
- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (Dictionary), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

Interpretation

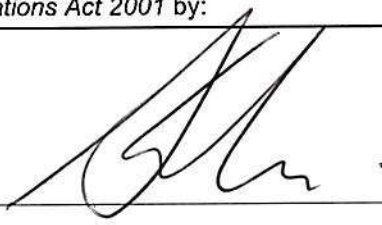
15.2 Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by Coles Group Property Developments Ltd (ACN 004 428 326) pursuant to section 127(1) of the Corporations Act 2001 by:

	
Signature of director	Signature of a director/company secretary
SHARBEZ (CHARLIE) ELIAS	Daniella Pereira
Name of director (print)	Name of director/company secretary (print)
Date 15 / 12 / 2025	Date 15 December 2025

Executed by Coles Supermarkets Australia Pty Ltd (ACN 004 189 708) pursuant to section 127(1) of the Corporations Act 2001 by:

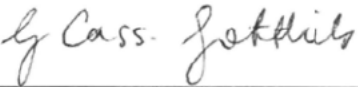
	
Signature of director	Signature of a director/company secretary
SHARBEZ (charlie) Elias	Daniella Pereira
Name of director (print)	Name of director/company secretary (print)
Date 15 / 12 / 2025	Date 15 December 2025

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Competition and Consumer Act 2010* (Cth) on:

16 December 2025

Date

and signed on behalf of the Commission:



Chair

16 December 2025

Date

Schedule 1 – Dictionary and interpretation

1 Dictionary

ACCC means the Australian Competition and Consumer Commission.

Act means the *Competition and Consumer Act 2010* (Cth).

Agreement for Lease means the agreement between Oreana and CSA, annexed in Confidential Schedule 3.

Approved Business Sale Agreement means the standard form contract for the divestiture of the Unsold Divestiture Site which has been approved by the ACCC in accordance with the terms of this Undertaking.

Approved Divestiture Agent means the person approved by the ACCC and appointed under clause 6 of this Undertaking.

Approved Marketing and Sale Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Divestiture Agent will market and effect the divestiture of the Unsold Divestiture Site.

Approved Purchaser means the person approved by the ACCC under clause 7 of this Undertaking.

Approved Sale and Purchase Agreement means the contract approved by the ACCC in accordance with the terms of this Undertaking, by which CGPD will divest the Divestiture Site to the Approved Purchaser and Approved Purchaser will acquire the Divestiture Site from CGPD.

Approved Terms of Appointment means the terms of appointment for the Approved Divestiture Agent, as approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

CGPD means Coles Group Property Developments Ltd (ACN 004 428 326).

Change of Control means:

- the assignment or other transfer of the legal or beneficial ownership of some or all of the share capital of CGPD or CSA (or their ultimate holding company as defined by section 9 of the Corporations Act) to any other person or entity that may impact compliance with this Undertaking in its entirety; or
- the sale or transfer of any assets necessary, or which may be necessary, to enable CGPD or CSA to continue to comply with this Undertaking in its entirety.

Coles means Coles Group Limited (ACN 004 089 936).

Commencement Date means the date described in clause 3.1 of this Undertaking.

Consents means any Government Consents or Third Party Consents.

Contract of Sale means the executed, binding contract of sale pursuant to which CGPD is divesting the Kororoit site to Oreana, as varied by amending deed, both of which are annexed in Confidential Schedule 3.

Corporations Act means the *Corporations Act 2001* (Cth).

CSA means Coles Supermarkets Australia Pty Ltd (ACN 004 189 708).

Divestiture Site means Certificate of Title Volume 12281 folio 586, also known as Lot P on Plan of Subdivision 804580W.

Entities Connected has the meaning given by section 64B of the Corporations Act.

Government Consents means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the use of the Unsold Divestiture Site.

Material Change means any change to the attributes of the Unsold Divestiture Site that may affect, or impact on, the competitiveness of the Unsold Divestiture Site.

Notice of Breach means written notice served by Coles on Oreana under clause 16.3 of the Contract of Sale advising of a breach of contract where settlement for the Divestiture Site has not occurred by the time specified in clause 12.3 of the Contract of Sale.

Notice of Termination means written notice served by Coles on Oreana under clause 16.2(c) of the Contract of Sale terminating the Contract of Sale for the breach described in the Notice of Breach, where that breach has not been remedied within the time specified in the Notice of Breach.

Oreana means Neale Deanside Developments Pty Ltd (ACN 670 752 379).

Proposed Acquisitions is defined in clause 2 of this Undertaking.

Proposed Divestiture Agent means a person named in a Proposed Divestiture Notice.

Proposed Divestiture Agent Notice has the meaning given to it in clause 6.3 of this Undertaking.

Proposed Purchaser means a person named in a Proposed Purchaser Notice.

Proposed Purchaser Notice has the meaning given to it in clause 7.2 of this Undertaking.

Public Mergers Register means the ACCC's public register of merger clearances, available at www.accc.gov.au.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Related Bodies Corporate has the meaning given to it by section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

Third Party Consents means any Consent from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the use of the Unsold Divestiture Site.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Undertaking Appointment means the Approved Divestiture Agent.

Unsold Divestiture Site has the meaning given to it in clause 6.1 of this Undertaking.

2 Interpretation

- 2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:
- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
 - (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
 - (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
 - (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
 - (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
 - (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
 - (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
 - (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
 - (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
 - (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular.
 - (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
 - (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
 - (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
 - (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and

- (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, CGPD and CSA will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Schedule 2 – Proposed Divestiture Agent Form

This form sets out the information required by the ACCC in relation to the proposed appointment of the Proposed Divestiture Agent under the Undertaking (the **Undertaking Appointment**).

Please note that it is an offence under s137.1 of the Criminal Code Act 1995 (Cth) to give information to a Commonwealth entity knowing that the information is false or misleading or omits any matter or thing without which the information is misleading.

1 Method of Delivery to the ACCC

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Divestiture Agent Notice – Undertaking by Coles

Address: mergers@accc.gov.au

Attention: Executive General Manager – Mergers and Exemptions Assessment Division

With an email copy sent to:

Address: mergersru@accc.gov.au

Attention: Director, Remedies Unit – Merger Surveillance & Coordination Branch, Mergers and Exemptions Assessment Division

2 Information Required

The ACCC requires the following information in order to assess the Undertaking Appointment.

2.1 Proposed Undertaking Appointment details:

- (a) the name of the Proposed Undertaking Appointment; and
- (b) the name of the proposed Undertaking Appointment's employer and contact details including:
 - (i) Address;
 - (ii) Contact name;
 - (iii) Telephone number;
 - (iv) Other contact details.

2.2 A submission containing the following information:

- (a) details of the Undertaking Appointment's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking;
- (b) the names of the owner(s) and the director(s) of the Undertaking Appointment's employer;
- (c) details of any of the following types of relationships between CGPD or CSA and the Undertaking Appointment or the Undertaking Appointment's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:

- (i) CGPD or CSA, and the Undertaking Appointment's employer, are Associated Entities;
 - (ii) CGPD or CSA is an Entity Connected with the Undertaking Appointment's employer;
 - (iii) The Undertaking Appointment's employer is an Entity Connected with CGPD or CSA;
 - (iv) CGPD or CSA and the Undertaking Appointment's employer are Related Entities;
 - (v) CGPD or CSA and the Undertaking Appointment's employer are Related Parties;
 - (vi) any Related Party, Related Entity or Entity Connected with CGPD or CSA is a Related Party, Related Entity or Entity Connected with the Undertaking Appointment;
 - (vii) CGPD or CSA and the Undertaking Appointment or the Undertaking Appointment's employer have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Undertaking Appointment's employer is a supplier of CGPD or CSA, or has been in the past three years;
 - (ix) CGPD or CSA is a supplier of the Undertaking Appointment's employer or has been in the past three years; and
 - (x) any other relationship between CGPD or CSA and the Undertaking Appointment or the Undertaking Appointment's employer that allows one to affect the business decisions of the other;
- (d) details of any existing or past contractual relationships between the Undertaking Appointment or the Undertaking Appointment's employer and the ACCC within the past three years.

- 2.3 A document outlining the terms of appointment for the proposed Undertaking Appointment. This should identify the basis on which fees will be paid, including disclosure of any proposed performance-based fees.

3 Specific Information required for Proposed Undertaking Appointments

The ACCC requires the below information in relation to the appointment of the Proposed Divestiture Agent.

- 3.1 The finalised draft business sale agreement drafted by the Proposed Divestiture Agent in consultation with CGPD, in an editable format, which is to provide for the for the divestiture of the Unsold Divestiture Site.
- 3.2 The Proposed Divestiture Agent's draft marketing and sale plan for the Unsold Divestiture Site, in an editable format.

Schedule 3 – Confidential Schedule 3

Schedule 4 – Proposed Purchaser Notice Form

This form sets out the information required by the ACCC in relation to a Proposed Purchaser.

Please note that it is an offence under s137.1 of the Criminal Code Act 1995 (Cth) to give information to a Commonwealth entity knowing that the information is false or misleading or omits any matter or thing without which the information is misleading.

1 Method of Delivery to the ACCC

The completed form with requested documents attached should be provided to the ACCC using the following method:

Email

Subject line: Proposed Purchaser Notice – Undertaking by Coles
Address: mergers@accc.gov.au
Attention: Executive General Manager – Mergers and Exemptions Assessment Division

With an email copy sent to:

Address: mergersru@accc.gov.au
Attention: Director, Remedies Unit – Merger Surveillance & Coordination Branch, Mergers and Exemptions Assessment Division

2 Information Required

The ACCC requires the following information in order to assess a Proposed Purchaser.

2.1 Proposed Purchaser details:

- (a) Name of the Proposed Purchaser;
- (b) Address;
- (c) Contact name;
- (d) Telephone number;
- (e) Other contact details.

2.2 A submission containing the following information:

- (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business;
- (b) details of the Proposed Purchaser's experience in the relevant market(s);
- (c) the names of the owner(s) and the director(s) of the Proposed Purchaser;
- (d) details of any of the following types of relationships between CGPD or CSA and the Proposed Purchaser or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) CGPD or CSA, and the Proposed Purchaser are Associated Entities;
 - (ii) CGPD or CSA is an Entity Connected with the Proposed Purchaser;
 - (iii) the Proposed Purchaser is an Entity Connected with CGPD or CSA;

- (iv) CGPD or CSA and the Proposed Purchaser are Related Entities;
 - (v) CGPD or CSA and the Proposed Purchaser are Related Parties;
 - (vi) any Related Party, Related Entity or Entity Connected with CGPD or CSA is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;
 - (vii) CGPD or CSA and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Proposed Purchaser is a supplier of CGPD or CSA or has been in the past three years;
 - (ix) CGPD or CSA is a supplier of the Proposed Purchaser or has been in the past three years; and
 - (x) any other relationship between CGPD or CSA and the Proposed Purchaser that allows one to affect the business decisions of the other;
- (e) a section addressing the following factors, including any information adverse to the Proposed Purchaser, in the power, possession or control of CGPD or CSA:
- (i) whether the draft sale and purchase agreement is consistent with this Undertaking;
 - (ii) whether the Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (iii) whether the Proposed Purchaser is of good financial standing;
 - (iv) whether the divestiture of the Unsold Divestiture Site to the Proposed Purchaser will address any competition concerns of the ACCC, including any relationships (including but not limited to shareholding interests, other proprietary interests, contracts, arrangements or understandings) between the Proposed Purchaser and other entities in a relevant market, and the likely long-term viability and competitiveness of the Unsold Divestiture Site under the ownership of the Proposed Purchaser; and;
 - (v) any other matters that may affect the Proposed Purchaser's capacity or ability to acquire the Unsold Divestiture Site, such as outstanding legal action or disputes.

2.3 Please also attach to this form:

- (a) the finalised draft of the sale and purchase agreement for approval by the ACCC in accordance with this Undertaking.
- (b) any documents required to support the information provided by CGPD or CSA pursuant to this form.